They voiced the fear that India would be relegated to the production of primary commodities in the interests of maintaining full employment in advanced countries.

As regards the liquidation of sterling balances which had been left to bilateral agreement to avoid overburdening the Fund, the Directors felt that there was no reason to fear that multilateral clearing of the sterling balances would very rapidly exhaust the Fund's holdings of dollars. They could not appreciate what advantage the US could have by excluding multilateral clearing of abnormal war balances from the scheme. On the contrary they believed that the US was losing out on new markets for her goods. They argued that the huge size of the balances was itself an argument for not relegating them entirely to bilateral clearing. The Directors believed that since the resultant transactions would constitute such a large proportion of the total volume of trade of the countries involved the facilities offered by the Fund would be reduced to insignificance. The Board thus urged multilateral clearance of war balances in the interest of the Fund itself.

The Board also voiced the view that in case there was no multilateral clearance of sterling balances, steps should be taken to ensure that she retained all dollars arising out of her transactions with the US. The Board reiterated their view that sterling area arrangements and the Empire Dollar Pool were incompatible with an International Monetary Fund. As regards the fixation of the quotas, the Board urged that India's population should also be considered apart from her external and internal trade and national income. They also believed that figures of past trade could not be taken as a reliable indicator of future needs. What was more relevant was the anticipated size of post-war trade. According to them, India was entitled to the fourth place and therefore a seat on the executive committee of the Fund. The Board recommended that India should make no commitments at the Conference since if India's representation on the Fund was 'constitutionally bound to accept guidance from authorities not politically responsible to Indian public opinion, her participation would fail to inspire confidence among the people.'[18]

AN INVITATION TO A CONFERENCE